Min Payment and Interest Charged on Rest

In the context of **credit cards**, users have flexibility in how they repay their outstanding balance each month. Here's an explanation of how it works:

1. Full Balance Payment (Interest-Free Period):

- **Description**: Credit card users can choose to pay the full amount of their outstanding balance by the due date. If they do so, they benefit from an **interest-free period** on their purchases, which typically ranges from 20 to 55 days depending on the issuer and the transaction date.
- **Benefit**: By paying the full balance, the cardholder avoids any interest charges. This is a preferred strategy for people who want to use their credit card without incurring extra costs.

2. Minimum Payment Option:

- **Description**: Credit card issuers allow users to make a **minimum payment**, which is a small portion of the total balance, typically around **2-5%** of the outstanding amount or a fixed minimum amount, whichever is higher.
- **Example**: If your outstanding balance is INR 10,000, the minimum payment might be around INR 200-500.
- **Benefit**: Paying the minimum helps users avoid **late payment fees** and keeps their credit account in good standing, but this option is often used by those who cannot afford to pay the full balance immediately.

3. Interest on the Remaining Balance:

- **Description**: If the user chooses to pay only the minimum amount (or any amount less than the full balance), the remaining unpaid balance will start accruing **interest**. The interest is applied starting from the day the purchase was made (i.e., the interest-free period no longer applies).
- **Interest Rates**: Credit card interest rates are typically **high**, ranging from **24% to 40% annually** (or about **2% to 3.5% monthly**). This means the longer a user carries an unpaid balance, the more interest they will accumulate.
- **Example**: If you have an outstanding balance of INR 10,000 and you only pay the minimum (say INR 300), the remaining INR 9,700 will start to accumulate interest. At a 3% monthly interest rate, you'll be charged INR 291 in interest in the next billing cycle.

4. Rolling Over Debt (Revolving Credit):

- When a cardholder doesn't pay the full balance, the unpaid portion **rolls over** to the next billing cycle. This is known as **revolving credit**, and it can lead to a growing debt if only the minimum payment is made each month. As interest compounds, it becomes more difficult to pay off the balance over time.
- **Risk**: Continuously paying only the minimum while using the card for new purchases can lead to **debt accumulation**, where the user owes significantly more than their original purchases due to compounded interest.

Example:

Let's say you make a purchase of INR 50,000 on your credit card, and your monthly billing cycle ends in 30 days.

1. **Full Payment**: If you pay INR 50,000 in full by the due date, you won't pay any interest, and your card balance resets to zero.
2. **Minimum Payment**: If the minimum payment required is INR 1,500, and you only pay that amount:
    - The remaining INR 48,500 will accrue interest.
    - With an interest rate of 3% per month, the interest for the next cycle would be INR 1,455, added to your balance.
    - Your new balance in the next cycle will be INR 48,500 + INR 1,455 = INR 49,955, and interest will continue to compound if the full balance isn't paid.

Key Takeaway:

Paying the **full balance** every month avoids interest and keeps costs low, while paying only the **minimum** helps avoid late fees but leads to **high-interest charges** on the remaining balance, increasing long-term debt.